

of their bids and revised downward their bid price, with quite a few withdrawing their bids altogether. This had a cascading effect, as many retail investors too chose to withdraw their bids sensing institutional investor apathy. By the last day, it appeared that the issue may not be fully subscribed.

The pedigreed merchant bankers to the issue then had to fill the shortfall by paying from their pockets. Had the issue not attracted enough bids in the first place, the merchant bankers would only have had their reputation to worry about and not their pockets. But with investors withdrawing their bids, the merchant bankers were obliged under their agreement with the company to bridge the shortfall.

The issue was just about subscribed on the last day at the lower end of the price band. In private, the merchant bankers would say that a powerful rival of the company had prevailed on many of the institutional investors to withdraw their bids.

Cairn Plc may have got the satisfaction of raising Rs 5,788 crore through the issue, but more embarrassment lay ahead. The issue had a floppy debut on the bourses in the second week of January, closing at a 14 per cent discount to the offer price of Rs 160.

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The year 2007 would turn out to be the high noon of the IPO boom, as 100 companies together raised close to Rs 34,000 crore. With property prices shooting through the roof across the country, realty stocks were a big draw with investors. Little wonder, then, that nearly 43 per cent of all the money raised through IPOs that year was by realty companies.

The chartbuster public issue of the year was the K. P. Singh-promoted DLFs, which raised around Rs 9,200 crore. The company's road to stock market listing was a long and bumpy one. Some of the potholes are said to have had been created by Singh's rivals who did not want him to become too powerful.

Realty stocks were soaring to new highs, and 'land banks' was the buzzword as real estate firms touted the value of the land owned by them to pump up their valuations. In many cases, the land parcels they claimed to own did not have clear title deeds. Also, investors paid little attention to the execution capabilities of the company, its profit margins, the regulatory